AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Coinbase Global

NASDAQ : COIN · Mature-Company DCF · SOTP

$46.65B mkt cap · 263M sh · $8.6B cash, $6B debt · $6.0B converts/notes (~$2.6B net cash); ~17.2K BTC treasury (~$1.5B); Circle (CRCL) stake (≤~$0.8B)

22 October 2026 · the qualitative

$177.08

THE CENTRAL QUESTION

Is Coinbase the durable monopoly rail layer for crypto — a record $20B of Coinbase-held USDC, the Deribit derivatives platform, a regulator that surrendered — or a cycle stock that has now printed three straight quarterly losses?

Coinbase trades at $177 (~$47B) after a cyclical 2026: Q2 revenue $1.22B (−18.5% YoY) and a $360M GAAP loss, the third straight, as BTC fell from above $120K to a $58K low before recovering to ~$87K. The structural case firmed in the same quarter: a record 10.3% volume share, a record $20B of USDC in Coinbase products, and the Circle revenue share renewed into 2029. Stock comp was 11.7% of FY25 revenue; net of it, enterprise value is ~25× FY25 free cash flow (~18× before it). On that basis the stock is roughly fair: the most likely case sits ~8% below the price and 77% of the probability below it, with most of the value in the upside tails.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -8.3% · 77% at or below spot

$194.35

expected fair value today

+9.8% vs spot $177.08

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$296.82	$453.99	$695.50	$1,067.33
1.68× spot	2.56× spot	3.93× spot	6.03× spot

WEIGHTING RATIONALE

Ultra Bear 8% Crypto winter + take-rate compression + GENIUS hostility compound; FCF after stock comp turns negative.

Bear 22% Cycle normalizes; transaction revenue stays sub-FY25; multiple resets to ~12× FCF on slower growth.

Base 47% Modal: BTC ranges $80-130K; subscription engine compounds; Coinbase-held USDC to $35B; ~15× FCF.

Bull 18% BTC $130-200K + Coinbase-held USDC >$50B + Deribit delivers; two engines fire independently.

Ultra Bull 5% Crypto-as-rails; sovereign adoption; multiple re-rates to fintech-infrastructure ~28× FCF.

Bull (18%) + Ultra Bull (5%) together contribute $101.00 — 52% of the $194.35 expected value despite 23% combined probability. Today's spot ($177.08) sits 9% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$12.49	$72.70	$162.45	$347.23	$770.01
-92.9% vs spot	-58.9% vs spot	-8.3% vs spot	+96.1% vs spot	+334.8% vs spot
CAGR -13.1% WACC 13.0% Take 8bp Prob 8%	CAGR -3.3% WACC 11.0% Take 11bp Prob 22%	CAGR +5.8% WACC 9.0% Take 13bp Prob 47%	CAGR +13.9% WACC 8.5% Take 13bp Prob 18%	CAGR +20.4% WACC 8.0% Take 14bp Prob 5%
Crypto winter + take-rate war.	Cycle bottoms; multiple resets to 12×.	Everything-exchange compounds.	Derivatives flywheel + USDC rails.	Crypto-as-rails; 28× re-rate.

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AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Coinbase Global scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 8% Bear 22% Base 47% Bull 18% Ultra Bull 5% · Weighted expected $194.35 (+9.8% vs spot)

ULTRA BEAR — $12.49

-92.9% vs spot

Probability 8%

Crypto winter + take-rate war.

WHY 8%

Joint conjunction of four largely independent fault lines: (a) BTC enters a 2022-style multi-year bear (~30% in any 3-year window post-halving); (b) take-rate compression accelerates as Robinhood gains share AND Hyperliquid-style USDC deals proliferate ($80M annualized EBITDA drag from Hyperliquid alone per Coindesk May 2026); (c) bank-issued stablecoins take share, shrinking Coinbase-held USDC below $15B; (d) Deribit integration friction stalls the derivatives flywheel. Each individually 20-30%; joint at 8%. Same 8% as ZM's ultra_bear: crypto-cycle volatility has a real historical base rate (the 2022 winter).

WHAT HAPPENS

Not slow cycle — a coordinated four-front collapse. BTC enters a multi-year bear market mirroring 2022 (down 70%+ from its $120K+ peak to $35-40K) as ETF outflows compound and the post-halving liquidity wave fails to materialize. Transaction revenue collapses from $4.0B FY25 to $1.5B by FY28 as both volume drops 60% AND take-rate compresses 30% under Robinhood/Hyperliquid pressure. The GENIUS Act regime turns hostile in implementation — bank-issued stablecoins take share from USDC and the discount-window asymmetry kills USDC's runway.

The Circle relationship inverts at the 2029 renewal: Hyperliquid-style direct-USDC deals proliferate across DeFi, compressing Coinbase's 50% revenue share to 30% on a smaller pie. Coinbase One churn spikes. Operating margin after stock comp falls to about zero by FY28 as Coinbase spends defensively, and free cash flow after stock comp turns slightly negative. The multiple collapses to 8× — crypto loses its narrative — but on negative cash flow that adds nothing: the operating business is worth ~$1.50 a share; ~$11 of the $12.49 is net cash plus the BTC and Circle holdings. Mirrors the 2022 winter (COIN closed near $33, from a $381 listing-day open) on a more diversified business.

BEAR — $72.70

-58.9% vs spot

Probability 22%

Cycle bottoms; multiple resets to 12×.

WHY 22%

Cycle-normalization plus competitive compression: BTC range-bound $50-80K for 18-24 months (median post-peak crypto correction); revenue stays well below FY25; take-rate compresses 15-20% as Robinhood gains retail share and Hyperliquid-style deals nick institutional flows; Coinbase-held USDC stalls; the exit multiple resets to ~12× FCF. The 22% weight reflects that crypto cycles are real and historically common (2018, 2022 — base rate ~25% per 5-year window), and the H1 2026 losses already validated some of the cycle thesis.

WHAT HAPPENS

Not existential — the cycle normalizing and the market repricing. BTC trades $50-80K for two years, extending the H1 2026 slide. Revenue settles at ~$5.5-6.1B a year — below FY25's $7.18B peak but well above the FY23 winter trough ($3.1B). Coinbase still gains share (regulatory wedge post-SEC dismissal) but on a smaller pie. The everything-exchange thesis holds operationally, but the equity re-rates to a ~12× FCF exit — crypto stocks lose their growth premium when transaction revenue stops growing.

The subscription engine partially compensates. Coinbase-held USDC stalls near today's ~$20B as bank-issued stablecoins take 30-40% of new issuance. Stablecoin revenue holds $1.0-1.2B annually. Derivatives volume grows as Deribit integrates, but its margin profile is structurally lower than spot. Free cash flow after stock comp runs $1.1-1.3B a year. A real downside but not catastrophic: the cycle hurts; the platform survives.

BASE — $162.45

-8.3% vs spot

Probability 47%

Everything-exchange compounds.

WHY 47%

Modal outcome. SEC dropped its case, GENIUS Act gave USDC clarity, Deribit closed and is integrating, Coinbase One crossed 1M paid subs — the structural picture is set. What remains is execution + cycle. Base assumes BTC ranges $80-130K (most common 5-year outcome post-peak), take-rate compresses gradually but the volume base grows, Coinbase-held USDC grows at a decelerating rate, and the exit multiple settles at ~15× FCF. 47% reflects that the thesis is well-priced but in motion — sequential execution, not heroic assumptions.

WHAT HAPPENS

The middle path: Coinbase builds the regulated, vertically-integrated everything-exchange. BTC ranges $80-130K (mid-cycle). Transaction revenue runs $3.5-4.5B annually with cycle texture. Subscription & services becomes the structural growth engine — Coinbase-held USDC compounds to $35-40B, stablecoin revenue grows to $1.5-2.0B, staking + custody + interest add another $1.5B+. The Deribit acquisition delivers — derivatives volume grows 40%+ annually with margin converging toward spot over time.

The regulatory tailwind is priced but structurally favorable. GENIUS Act gives USDC durable clarity. Deribit scales as offshore derivatives institutionalize. Coinbase One reaches 2.5M subs by FY30, putting a floor under engaged users. Operating margin after stock comp rises to ~28%. Revenue reaches ~$9.5B by FY30 (5.8% CAGR off FY25's $7.18B); free cash flow after stock comp grows from ~$1.7B to ~$2.7B; a ~15× exit — what a great mature platform offers when the moat is mostly priced.

BULL — $347.23

+96.1% vs spot

Probability 18%

Derivatives flywheel + USDC rails.

WHY 18%

Two engines fire: (a) BTC sustains $130-200K driving transaction revenue growth (conditional 35%); (b) Coinbase-held USDC compounds past $50B driving the subscription engine (conditional 40%); (c) Deribit delivers and derivatives crosses $1.5B revenue (conditional 50% on integration); (d) the market sustains a ~20× FCF exit (conditional 50%). Joint at 15-20%, weighted 18%. Higher than ZM bull because COIN's bull has one cycle-dependent leg AND one secular leg — they can succeed independently.

WHAT HAPPENS

The everything-exchange thesis inflects, not just plays out. BTC enters a sustained $130-200K range as institutional ETF flows compound. Transaction revenue grows $4.0B → $7.0B by FY30 as volume compounds AND share gains hold. Deribit integration succeeds beyond model — derivatives revenue crosses $1.5B by FY28 with options margin substantially better than spot. Deribit captures 15-20% of offshore derivatives flows as US regulatory clarity attracts institutional volume back from Binance.

The subscription engine inflects. Coinbase-held USDC compounds past $50B (from a record $20B) as the GENIUS Act establishes USDC as the de facto regulated dollar stablecoin. Stablecoin revenue grows $1.2B → $4-5B by FY30. Coinbase One reaches 4M subs at $30+ ARPU. Operating margin after stock comp expands to ~33%. Free cash flow after stock comp reaches ~$5.0B by FY30. The market recognizes COIN as crypto's Stripe-meets-Nasdaq, sustaining a 20× FCF exit. Two engines (cycle-driven transaction + subscription rails) both fire.

ULTRA BULL — $770.01

+334.8% vs spot

Probability 5%

Crypto-as-rails; 28× re-rate.

WHY 5%

Joint conditional: BTC sustains $200K+ on sovereign treasury adoption (15%); Coinbase-held USDC crosses $100B as the regulatory tailwind + EU MiCA make USDC the global regulated dollar (25%); Deribit captures Binance's offshore institutional share post-regulatory squeeze (30%); the multiple re-rates to a fintech-infrastructure ~28× FCF exit (30%). Joint at 5-7%, reflected at 5%. Tail of tails — but Coinbase has the regulatory wedge, float, derivatives platform, and cash to attempt all four.

WHAT HAPPENS

The scenario where crypto stops being a cycle and becomes a settlement layer — and COIN is the regulated US gateway. BTC ranges $200-300K as sovereign treasury adoption institutionalizes. Coinbase-held USDC crosses $100B as the GENIUS Act + EU MiCA make USDC the global regulated dollar — challenging SWIFT for cross-border. Deribit becomes the dominant offshore venue as Binance's regulatory squeeze opens institutional flows. Transaction revenue compounds to $10B+ by FY30; subscription crosses $8B; derivatives is a $3B+ line. Operating margin after stock comp reaches ~38%.

The multiple re-rates fundamentally. Crypto stocks stop trading as cycle stocks and start trading as fintech infrastructure (Visa: 25× FCF; Stripe at private mark ~40×). COIN exits at 28× on ~$8.5B of FY30 free cash flow after stock comp. The crypto-as-rails scenario requires multiple independent inflections to fire simultaneously, but Coinbase has the regulatory wedge, the float, the derivatives platform, and the cash to attempt all four.

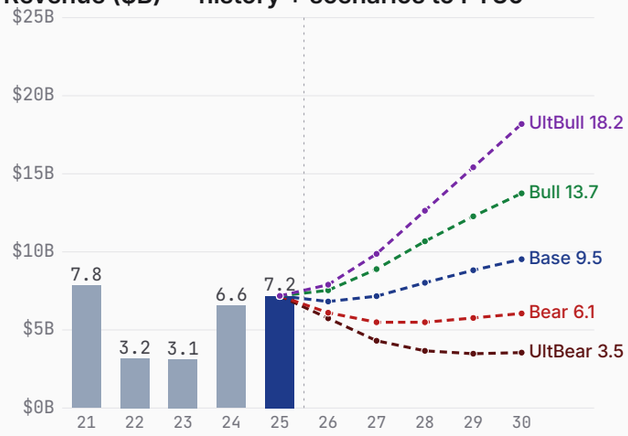
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Coinbase Global business snapshot

Bear $72.70 Base $162.45 Bull $347.23

FY21–FY25 history + FY26–FY30 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q2 2026 10-Q/shareholder letter, Circle Q2 2026 results, GENIUS Act, Deribit closing 8-K

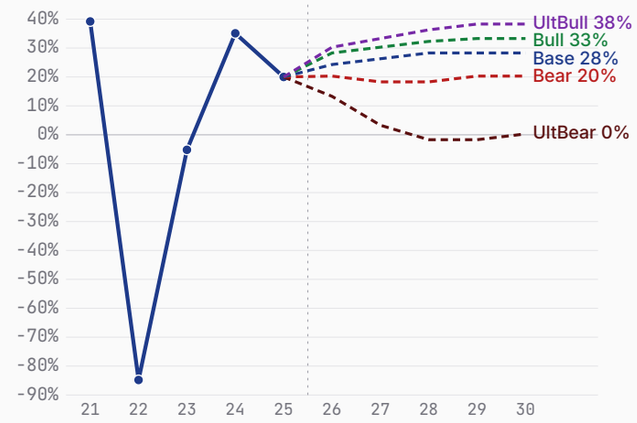
Revenue ($B) — history + scenarios to FY30



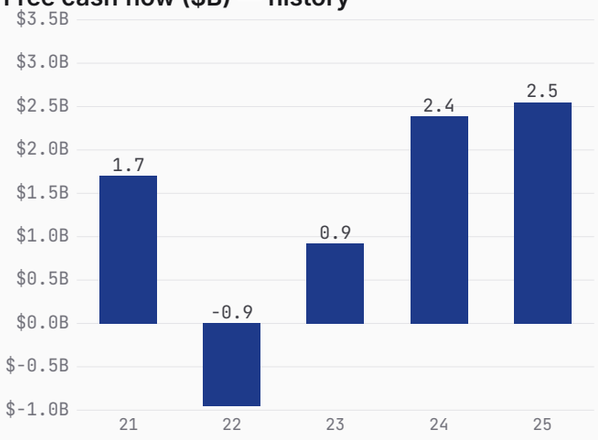
Revenue by segment ($B)



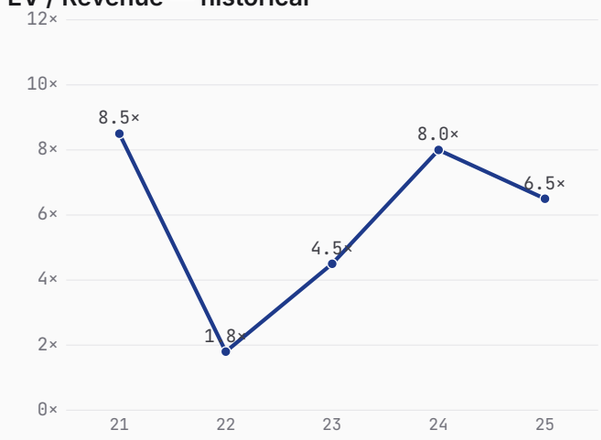
Op margin — history + scenarios



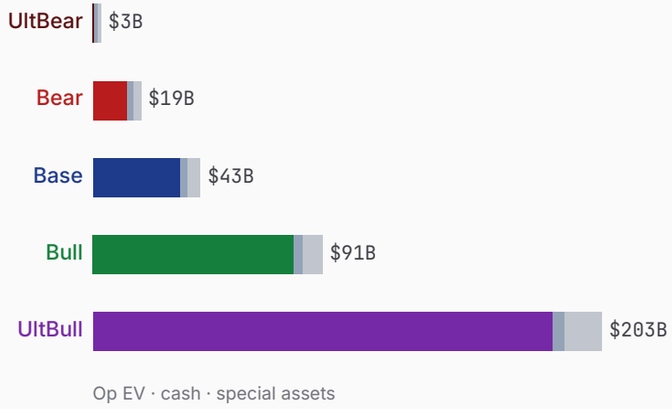
Free cash flow ($B) — history



EV / Revenue — historical



SOTP equity (Op EV + cash + CRCL + BTC)



Op EV · cash · special assets

Sources: COIN 10-K FY25, Q1 and Q2 2026 10-Qs/shareholder letters, Deribit closing 8-K Aug 2025, Circle (CRCL) S-1 and Q2 2026 results, GENIUS Act (S.1582), Coindesk Hyperliquid/Circle analysis May 2026, Yahoo Finance prices. FCF history is before stock comp; the valuation deducts it ($839M in FY25, 11.7% of revenue) and uses 263.4M diluted shares (Q2 2026 10-Q).

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Coinbase Global 7 Powers · the moat, scored

Bear $72.70 Base $162.45 Bull $347.23

Arena. Crypto exchange + on-chain financial rails — Coinbase vs Binance (global volume), Kraken, Robinhood (low-fee), spot ETFs (BlackRock/Fidelity), and on-chain DEXs; the race for the regulated US rails, custody, and stablecoin (USDC/Base).

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies ■■□	Liquidity + volume amortize compliance/security cost.
Network Economies ■■□	Liquidity begets liquidity; Base L2 ecosystem; USDC distribution.
Counter-Positioning ■□□	Hard to counter-position in a commoditizing exchange market.
Switching Costs ■■□	Custody, staking, institutional integrations, fiat on-ramps.
Branding ◂ thesis leans here ■■■	The trusted, regulated, public-company US crypto brand.
Cornered Resource ■■□	US regulatory licenses/compliance estate; Circle/USDC relationship (revenue share renewed unchanged into 2029); Base L2.
Process Power ■■□	Compliance + security track record (no major custody hack).

PEER SET

Binance — 10% gr · 45% mgn · private
Largest global volume; regulatory overhang; offshore.

Robinhood — 25% gr · 30% mgn · ~30x
Low/zero-fee; Q2 crypto revenue -38% YoY; prediction markets now out-earn crypto.

Spot ETFs (BlackRock/Fidelity) — 40% gr · n/a
Disintermediate spot holding/custody; IBIT options open interest briefly topped Deribit's (Apr 2026).

Kraken — 15% gr · private
Established US exchange; IPO paused Mar 2026; Q2 adj. revenue $508M (+17%).

THREAT VECTORS · FALSIFIERS

Scale Economies · Robinhood / zero-fee entrants
falsifier: Consumer transaction revenue / consumer spot volume below 1.0% for two straight quarters (~1.75% in Q2 2026).

Counter-Positioning · Spot ETFs + DEXs
falsifier: Coinbase trading-volume share declines 2 consecutive quarters during a crypto bull market.

Cornered Resource · Bank-consortium stablecoin (21 banks) / Open USD
falsifier: USDC share of stablecoin supply falls below 20% (24% in Sep 2026), or average USDC held in Coinbase products falls below $15B (record $20B, Q2 2026).

COMPETITIVE READ

A regulated-trust brand plus liquidity/USDC network with real compliance barriers, underpinning the bull terminal value; fee compression, ETF/DEX disintermediation, and bank / Open USD stablecoins taking USDC share are the durability falsifiers to watch.

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Coinbase Global show your work

Bear $72.70 Base $162.45 Bull $347.23 · Weighted $194.35 (+9.8%)

ULTRA BEAR $12.49

ASSUMPTIONS

5y revenue CAGR (%)	-13.1
Year-5 op margin (%)	0.3
WACC (%)	13.0
Terminal growth (%)	-2.0
Anthropic stake ($B)	0.0
Starting revenue ($B)	7.18
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	5.74	+13%	+0.77	+0.68
FY27	4.31	+3%	+0.15	+0.11
FY28	3.66	-2%	-0.09	-0.06
FY29	3.48	-2%	-0.12	-0.07
FY30	3.55	+0%	-0.06	-0.03

Σ PV explicit FCF	**+0.63**
+ PV terminal (g -2.0%)	-0.24

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.39B
+ Cash & investments	$7.40B
+ Special assets	$1.50B
− Total debt	$6.00B
= Equity value	**$3.29B**
FY30 shares (M)	263.4
= Expected per share	**$12.49**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$23.01	$42.40	$78.12	$143.92
0.13×	0.24×	0.44×	0.81×

BEAR $72.70

ASSUMPTIONS

5y revenue CAGR (%)	-3.3
Year-5 op margin (%)	20.3
WACC (%)	11.0
Terminal growth (%)	1.0
Anthropic stake ($B)	0.0
Starting revenue ($B)	7.18
Scenario probability (%)	22

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	6.10	+20%	+1.24	+1.11
FY27	5.49	+18%	+1.10	+0.89
FY28	5.49	+18%	+1.10	+0.80
FY29	5.77	+20%	+1.25	+0.82
FY30	6.06	+20%	+1.31	+0.78

Σ PV explicit FCF	**+4.41**
+ PV terminal (g 1.0%)	9.34

EQUITY BUILD · $B & PER SHARE

Operating EV	$13.75B
+ Cash & investments	$8.40B
+ Special assets	$3.00B
− Total debt	$6.00B
= Equity value	**$19.15B**
FY30 shares (M)	263.4
= Expected per share	**$72.70**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$122.50	$206.43	$347.84	$586.13
0.69×	1.17×	1.96×	3.31×

BASE $162.45

ASSUMPTIONS

5y revenue CAGR (%)	+5.8
Year-5 op margin (%)	28.3
WACC (%)	9.0
Terminal growth (%)	2.0
Anthropic stake ($B)	0.0
Starting revenue ($B)	7.18
Scenario probability (%)	47

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	6.82	+24%	+1.66	+1.53
FY27	7.16	+26%	+1.87	+1.58
FY28	8.02	+28%	+2.28	+1.76
FY29	8.82	+28%	+2.52	+1.78
FY30	9.53	+28%	+2.72	+1.76

Σ PV explicit FCF	**+8.41**
+ PV terminal (g 2.0%)	26.48

EQUITY BUILD · $B & PER SHARE

Operating EV	$34.89B
+ Cash & investments	$8.90B
+ Special assets	$5.00B
− Total debt	$6.00B
= Equity value	**$42.79B**
FY30 shares (M)	263.4
= Expected per share	**$162.45**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$249.95	$384.58	$591.72	$910.44
1.41×	2.17×	3.34×	5.14×

BULL $347.23

ASSUMPTIONS

5y revenue CAGR (%)	+13.9
Year-5 op margin (%)	33.3
WACC (%)	8.5
Terminal growth (%)	2.5
Anthropic stake ($B)	0.0
Starting revenue ($B)	7.18
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.54	+28%	+2.14	+1.97
FY27	8.90	+30%	+2.79	+2.37
FY28	10.68	+32%	+3.72	+2.91
FY29	12.28	+33%	+4.63	+3.34
FY30	13.75	+33%	+4.97	+3.31

Σ PV explicit FCF	**+13.91**
+ PV terminal (g 2.5%)	66.15

EQUITY BUILD · $B & PER SHARE

Operating EV	$80.06B
+ Cash & investments	$9.40B
+ Special assets	$8.00B
− Total debt	$6.00B
= Equity value	**$91.46B**
FY30 shares (M)	263.4
= Expected per share	**$347.23**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$522.11	$785.08	$1,180.49	$1,775.06
2.95×	4.43×	6.67×	10.02×

ULTRA BULL $770.01

ASSUMPTIONS

5y revenue CAGR (%)	+20.4
Year-5 op margin (%)	38.3
WACC (%)	8.0
Terminal growth (%)	3.0
Anthropic stake ($B)	0.0
Starting revenue ($B)	7.18
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.90	+30%	+2.40	+2.22
FY27	9.87	+33%	+3.78	+3.24
FY28	12.64	+36%	+5.57	+4.42
FY29	15.42	+38%	+7.23	+5.31
FY30	18.19	+38%	+8.52	+5.80

Σ PV explicit FCF	**+20.99**
+ PV terminal (g 3.0%)	162.43

EQUITY BUILD · $B & PER SHARE

Operating EV	$183.42B
+ Cash & investments	$10.40B
+ Special assets	$15.00B
− Total debt	$6.00B
= Equity value	**$202.82B**
FY30 shares (M)	263.4
= Expected per share	**$770.01**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1,131.40	$1,662.39	$2,442.60	$3,588.98
6.39×	9.39×	13.79×	20.27×

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Coinbase Global People · Opportunity · Context · Deal

Bear $72.70 Base $162.45 Bull $347.23

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Brian Armstrong · `founder-led` — 14 yrs in seat

14%
insider ownership

HIGH
key-person risk

Capital allocation (realized)
M&A-led with a growing capital return: bolt-ons (Xapo, Tagomi, Bison Trails, FairX) culminating in Deribit (~$2.9B announced, ~$4.3B at the Aug-2025 close — the largest crypto-industry deal), funded partly in stock. A $4.0B repurchase authorization ($1B Oct 2024 → $2B Oct 2025 → $4B Jan 2026, incl. converts/notes) is half spent: $2.0B through Jun 30 2026, retiring ~10.1M Class A shares; the 2026 converts were repaid in cash. Holds a long-term crypto treasury (~17,200 BTC, Jun 2026).

Incentive alignment
Alignment runs through the founder stake, not fresh pay: FY2024 was a $1M salary with $0 bonus and $0 new equity (the bulk of "other comp" ~$6.2M is personal security). But Armstrong is a steady seller — a 10b5-1 plan moved ~$550M (>1.5M shares, ~5% of his stake) over the past year.

GOVERNANCE FLAGS

- super-voting dual-class (Class B = 20 votes) → majority (~60%+) founder voting control
- "controlled company" eligible — but committees 100% independent (does not lean on the exemptions)
- CEO + Chairman combined (lead independent director)
- Class B non-dilutable by outsiders (converts on transfer)

THE FOUR LEGS



People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`+9.8% vs spot $177.08`

> **PEOPLE READ**
> Founder-CEO with ~14% economic but majority, non-dilutable voting control — outsiders cannot force a change. Aligned via the stake and a fully-independent committee structure, but the offsets stack: majority control and a steady 10b5-1 sell-down, with capital split across M&A, a crypto treasury and a $4B buyback (half spent).

Coinbase Global supporting analysis · disclaimers · glossary

Bear $72.70 Base $162.45 Bull $347.23

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Subscription engine is structural.**
Sub & services hit $555M in Q2 2026 (48% of net revenue) despite the trading slump, on a record $20B of Coinbase-held USDC.

2 **Regulatory moat is unprecedented.**
SEC case dropped 2025; GENIUS Act; 2026 SEC tokenized-securities exemption + UK FCA approval. The only fully-regulated big US exchange.

3 **Deribit makes COIN the global derivatives leader.**
Closed Aug 2025 (~$4.3B); ~49% of crypto options (IBIT briefly topped its open interest, Apr 2026). Higher-margin, less cyclical than spot.

4 **Coinbase One is the cycle hedge.**
>1M paid subs at $30/mo + premium tiers. Engagement floor regardless of BTC price. Higher trading volume + revenue per user vs free tier.

5 **The base assumes the multiple halves.**
It exits at 15× FCF after stock comp vs ~25× today; a ~17× exit would put the base at the $177 price.

FALSIFICATION TRIGGERS

Bear validation

BTC < $60K sustained > 2 quarters · transaction rev < $700M/qtr · take-rate below 10 bps · Coinbase-held USDC < $15B · Hyperliquid-style deals proliferate

Bull validation

BTC > $150K sustained > 2 quarters · derivatives rev > $400M/qtr · Coinbase-held USDC > $50B · Coinbase One > 2M subs · international flows > 25% of derivatives

Reframe needed

If bank-issued stablecoins (the 21-bank consortium coin, Open USD) scale and take >20% of USDC's share, the rails thesis breaks. Conversely, a major COIN acquisition (>$5B) broadens the thesis.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

USDC — Circle-issued dollar stablecoin. ~$75B circulating (~24% of stablecoins, Sep 2026); a record ~$20B held in Coinbase products (Q2 2026). GENIUS Act-regulated (effective by Jan 2027).

Deribit — Crypto-options exchange acquired Aug 2025 (~$2.9B announced, ~$4.3B at close). ~49% of crypto options (55% of BTC); IBIT options briefly topped its open interest (Apr 2026).

Transaction revenue — Fees on trading volume (spot + derivatives). $4.0B FY25 (56% of revenue). Cyclically tied to crypto prices/volatility; the main swing variable.

GENIUS Act — US stablecoin law (2025). Defines permitted issuers; $10B ceiling for state-qualified ones. Federal moat for USDC.

Subscription & services — Non-transaction revenue — USDC interest, staking, custody, Coinbase One subs. $2.8B FY25; $555M in Q2 2026 (48% of net revenue) as lower crypto prices and rates offset USDC growth.

Circle (CRCL) stake — CRCL shares received in the 2023 Centre dissolution; part sold Q1 2026. The remainder (≤~8.4M shares) is worth ≤~$0.8B at ~$92 (Sep 2026). Marked as a strategic investment.